

AS GOVERNMENTS grapple with pressures on growth and jobs, Kristalina Georgieva, Managing Director of the International Monetary Fund (IMF), has a front-row view of the fault lines across the global economy. She has spent decades at the intersection of economics and development—shaping responses to major shocks and making the case for growth that is resilient and inclusive. A Bulgarian economist, she has led the IMF since October 2019, after serving as CEO of the World Bank and holding senior roles at the European Commission, including overseeing the EU budget and directing humanitarian aid and crisis response. Now, as artificial intelligence (AI) begins to reorder productivity and the nature of work, Georgieva sees a familiar policy dilemma—how to capture the gains while cushioning those most exposed to disruption, especially vulnerable workers and economies at the risk of falling behind. In an interview on the sidelines of the recent AI Summit in New Delhi, she spoke to Siddharth Zarabi, Group Editor, *Business Today*, about India's ambitions in AI, its potential role in global growth, and what governments must do

to manage its labour-market impact. Edited excerpts:

►►►

What was delivered at the AI Summit?

What the summit did is to bring not just the world together, but to bring the developing world to India to meet those who are ahead on this journey. What India is doing in artificial intelligence is phenomenal because the goal of the country is to democratise it.

►►►

What is the biggest risk?

That AI is going to open opportunities too widely. The haves and the have-nots may have a big distance in between. India is saying it need not be that way. We can work to make AI a source of benefit for the whole of society and we are determined to help the rest of the world, especially the global south, benefit from AI.

Already, there is evidence that the impact

demand for low-skill workers in restaurants, in hotels, and in entertainment.

What is happening is that we have one part of the labour force getting better pay because of better skills, another part of the labour force getting jobs, but with less pay. And who gets squeezed? The middle—jobs that are not enhanced.

We also see automation eliminating entry-level jobs. So, recent graduates worry, where

WHAT INDIA IS DOING IN ARTIFICIAL INTELLIGENCE IS PHENOMENAL BECAUSE THE GOAL OF THE COUNTRY IS TO DEMOCRATISE IT

| 11

AI is already here, and the speed with which it is affecting the way we work, live, and interact with each other is the highest in the history of technological transformation. We risk falling behind if we do not lean forward with everything we have.

Two, it is a tremendous source of excitement and opportunity, but it also brings risks, and we must embrace the opportunities of higher productivity and growth, and manage the risks, especially the risks of displacement of workers.

on the labour market is very significant. AI is like a tsunami hitting the labour market. We assess 40% of jobs globally, 60% in advanced economies, will be impacted by AI in the next few years, either enhanced, made more productive, or replaced.

And when we study what is happening, we find a very interesting story. Already in the United States, one in 10 jobs requires AI-enhanced skills, and it pays more. People in these jobs, with more money in their pockets, spend more, and that creates

are the jobs for me? And this is where the attention of policymakers needs to go. We are not helpless. What we can do first is to redefine education for the era of AI.

We need to think through how to go about a transformative technology that brings enormous opportunities—we see this potentially lifting global growth by 0.8%. It means that we will have growth globally above the pre-pandemic level. Right now, it's an anaemic 3.3%. We can break out of this path of low